

purchase from the New York Central Railroad Company, for the sum of \$8,500,000, of common and preferred stock constituting control of the New York, Chicago, and St. Louis Railroad Company (known as the “Nickel Plate”). This purchase was financed by giving a note to the seller for \$6,500,000 and by a cash payment of \$2,000,000, which in turn was borrowed from a Cleveland bank. Subsequent acquisitions of control of many other companies were effected by various means, including the following:

1. The formation of a private corporation for the purpose (*e.g.*, Western Corporation to acquire control of Lake Erie and Western Railroad Company, and Clover Leaf Corporation to acquire control of Toledo, St. Louis and Western Railroad Company—both in 1922).

2. The use of the resources of one controlled railroad to acquire control of others (*e.g.*, the New York, Chicago and St. Louis Railroad Company purchased large amounts of stock of Chesapeake and Ohio Railway and Pere Marquette Railway Company during 1923–1925).

3. The formation of a holding company to control an individual road, with sale of the holding company’s securities to the public (*e.g.*, Chesapeake Corporation, which took over control of Chesapeake and Ohio Railway Company and sold its own bonds and stock to the public, in 1927).

4. Formation of a general holding company (*e.g.*, Alleghany Corporation, chartered in 1929. This ambitious project took over control of many railroad, coal, and miscellaneous enterprises).

The report on the “Van Sweringen Holding Companies” made to the House of Representatives in 1930² includes an interesting chart showing the contrast between the control exercised by the Van Sweringens and their relatively small equity or financial interest in the capital of the enterprises controlled. In the following table, we append a summary of these data. The figures in Column *A* show the percentage of voting securities held or controlled by the Van Sweringens; the figures in Column *B* show the proportion of the “contributed capital” (bonds, stock, and surplus) actually owned directly or indirectly by them.

It is worth recalling that similar use of the holding company for pyramiding control of railroad properties had been made before the war—notably in the case of the Rock Island Company. This enterprise was organized in 1902. Through an intermediate subsidiary it acquired nearly

² House Report 2789, 71st Congress, 3d Session, Part 2, pp. 820–1173.